

7.5

CAPITAL WORK IN PROGRESS

In the previous unit, we learned to analyze Intangible Assets. In this unit, we will understand the questions that need to be asked to understand Capital Work in Progress. What are the new assets being built by the company? We need to ask these questions twice, first for Fixed or Tangible Assets and secondly for Intangible Work in Progress.

Capital Work In progress - Similar for	
What is the segment in which expansion is being made?	
Purpose/ Motivation of Expansion	

These questions are straightforward, and we can look them up at different places in the financial data being communicated by the company. Otherwise, we can also ask the company's management if we get a chance.

The questions to ask are:

What is the segment in which the expansion is being made?

Companies are mostly present in multiple business segments; thus, it is very important to understand the segments where they are making expansions.

